

Company Car Policy

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Company	Northstar Solutions Ltd.
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Related sub-directive	Open sub-directive PDF (30336958) - Company Car Driver Safety Requirements, version 1.0; file: <code>[30336958-company-car-driver-safety-requirements-v1.pdf]</code>

1. Purpose

This directive defines the eligibility, assignment, safe use, environmental standards, and return of company cars. It supports necessary business travel while reducing fleet emissions and operating risk.

2. Scope

This directive applies to all employees who are assigned a company-owned or company-leased passenger vehicle. Pool vehicles and short-term rentals are governed by the Fleet Booking Procedure and Business Travel Directive.

Where local law, tax rules, an employment agreement, or a collective agreement sets a different requirement, that requirement takes precedence.

3. Eligibility and annual review

A company car may be assigned when:

- the employee's role is expected to require at least 12,000 business kilometers per year;
- the employee travels for business on at least 40 percent of working days; or
- the Executive Committee has approved the car as part of the employee's compensation package.

The employee's manager, People Operations, and Fleet Management must approve the assignment. Eligibility is reviewed each January using the prior year's business mileage. Fleet Management may replace an underused car with access to a pool vehicle or a mobility allowance.

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4. Vehicle selection and replacement

Battery-electric vehicles are the default for all new assignments. Fleet Management may approve a plug-in hybrid or efficient combustion vehicle when documented route, charging, payload, or regional infrastructure requirements make an electric vehicle impractical.

Vehicles must be selected from the approved catalog and role-based cost band. They are normally replaced after 48 months, 140,000 kilometers, or when total maintenance cost makes earlier replacement economical.

5. Permitted use

The vehicle may be used for company business, commuting, and private travel where private use is included in the assignment letter. Private travel is limited to 8,000 kilometers per calendar year unless a higher allowance is approved as a taxable benefit.

Only the assigned employee may drive the vehicle. A properly licensed adult may drive only in an emergency where the employee cannot continue safely.

The vehicle must not be used for racing, driver instruction, commercial passenger or delivery services, unauthorized towing, off-road recreation, or travel to a country excluded by the insurer.

6. Charging, fuel, tolls, and parking

For electric vehicles:

- public charging for business travel must use the company charging card;
- home charging is reimbursed at the published quarterly electricity rate based on verified vehicle data;
- the company may contribute up to EUR 900 toward one approved home charger installation; and
- charging costs for private travel are the employee's responsibility.

For other vehicles, the fuel card may be used only for business travel and commuting. Business tolls and parking may be claimed through the expense system.

Traffic fines, parking penalties, impound fees, and costs caused by negligent misuse remain the employee's responsibility.

7. Driver safety responsibilities

The detailed controls for this section are defined in the [Company Car Driver Safety Requirements \(open PDF\)](#), Directive ID 30336958, version 1.0, file `[30336958-company-car-driver-safety-requirements-v1.pdf]`. That sub-directive forms part of this policy and is mandatory for every authorized driver.

The assigned employee must:

- maintain a valid license and report any suspension or restriction before driving;
- complete the company's defensive-driving course every two years;
- never drive while impaired or dangerously fatigued;
- not hold or operate a phone while the vehicle is moving;
- ensure all occupants use seat belts;
- keep the vehicle smoke-free and vape-free;
- complete the monthly digital safety inspection;

- arrange servicing, recalls, tires, and statutory inspections on time; and

• use winter tires where required by law or Fleet Management.

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8. Damage, breakdown, and accidents

Accidents, theft, vandalism, and material damage must be reported through the Fleet Portal within 12 hours, or immediately when a person is injured. The driver must contact emergency services or the police when required by law, when there is an injury, or when theft is suspected.

The driver must not admit liability or agree to a private settlement. Available photographs, witness details, police references, and third-party information must be uploaded to the incident record.

9. Insurance and driver charges

The company maintains fleet insurance for authorized use. The employee may be charged the insurance excess for an at-fault incident where an investigation identifies serious negligence, a prohibited use, or failure to report on time. Any charge will follow local law and the Payroll Deduction Standard.

10. Vehicle data and privacy

Fleet vehicles use telematics to record odometer readings, charging or fuel consumption, diagnostic alerts, location, and safety events such as harsh braking. Data is used for maintenance, mileage validation, theft recovery, incident investigation, and aggregated fleet planning.

Fleet Management does not use routine location data to assess employee performance. Access is role-based, logged, and limited to a defined business purpose. Detailed trip data is retained for 12 months unless an open investigation or law requires longer retention.

11. Return or suspension of the vehicle

The vehicle must be returned on the date specified by Fleet Management when:

- employment ends;
- the employee moves to an ineligible role;
- business mileage remains below the eligibility threshold for a full review year;
- unpaid or extended leave is expected to exceed 60 days; or
- the assignment is suspended due to unsafe or prohibited use.

All keys, cards, charging cables, documents, and standard equipment must be returned. The employee and Fleet Management will jointly record the vehicle's condition.

12. Non-compliance and exceptions

Misuse may result in temporary suspension or withdrawal of the vehicle, recovery of documented costs, and disciplinary action. Exceptions require a written business justification and approval from the policy owner and the business-unit director.